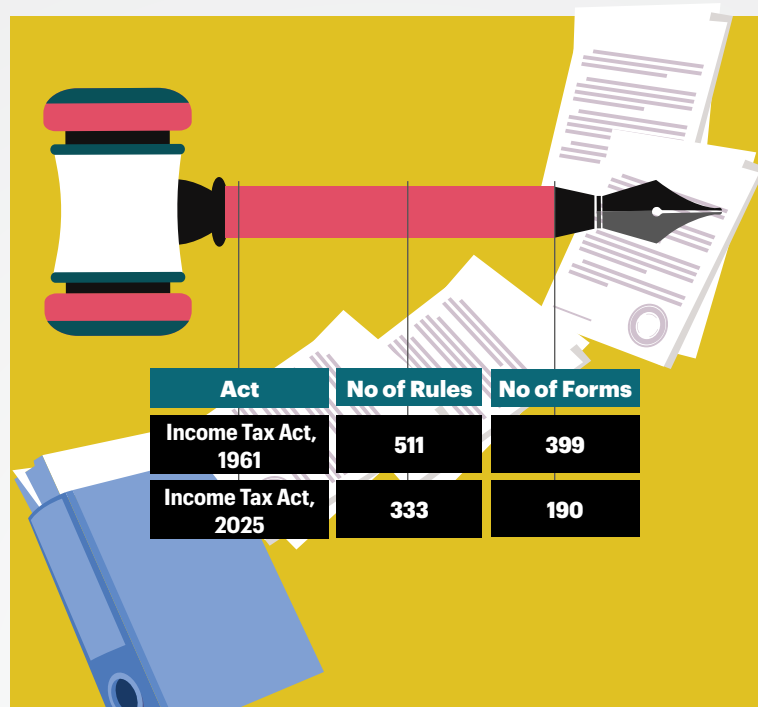


RATIONALISATION OF INCOME TAX RULES AND FORMS



Enhanced limits of certain Allowances and Perquisites

Perquisite	Existing Provision	Proposed Change
▶ Children Education Allowance	₹100 per month per child (up to two children)	₹3,000 per month per child (up to two children)
▶ Hostel Expenditure Allowance	₹300 per month per child	₹9,000 per month per child

Valuation of Employer-provided Benefits

▶ Where cubic capacity of car engine does not exceed 1.6 l	₹2,700 per month (₹1,800 plus ₹900 for chauffeur)	₹8,000 per month (₹5,000 plus ₹3,000 for chauffeur)
▶ Where cubic capacity of car engine exceeds 1.6 l	₹3,300 per month (₹2,400 plus ₹900 for chauffeur)	₹10,000 per month (₹7,000 plus ₹3,000 for chauffeur)
▶ Value of free meal vouchers from employers	₹50 per meal	₹200 per meal
▶ Value of gifts received by employees from employer	₹5,000	₹15,000
▶ Threshold for education facilities by an educational institution to the children of its employees	₹1,000 per month per child	₹3,000 per month per child
▶ Threshold for interest free loan provided by the employer (other than for medical treatment of specified diseases)	Up to ₹20,000	Up to ₹200,000

SOURCE CBDT, NANGIA GLOBAL

support the pre-fill functionality and automated reconciliations that will ease compliance.

Another key change relates to PAN. Forms for application of PAN and the required documentation have also been changed. Further, thresholds for quoting PAN have been tweaked. More transactions, including purchase or sale of cars, will require taxpayers to quote their PAN. This will lead to better reporting and disclosures.

“By increasing the thresholds, the measure narrows the reporting universe to transactions of greater materiality, reducing low-value data capture,” says Jhunjhunwala of Nangia Global.

Changes have also been made in the ITR forms and eligibility criteria for filing ITR-1 and ITR-4, which pertain to resident individual taxpayers, HUFs and LLPs. A Deloitte report says eligible individuals can use these forms even if they own up to two houses, subject to prescribed conditions. “This marks a change from the current framework, which limits eligibility to persons owning only one house,” it says.

Besides, the draft rules have provided a single unified rule for opting in or out of the new tax regime. Unlike the framework under the 1962 Rules, which requires filing separate prescribed forms electronically on or before the due date to opt for the new tax regime, the new rule says the option shall be exercised in the return of income. This eliminates the need for standalone filings, simplifying procedures and reducing the compliance burden, says Deloitte.

THE TRANSITION

With less than a month to go, everyone—taxpayers, tax practitioners, and the department—is getting ready for the rollout.